

The euphoria expected by the top of wave ⑤ of V should be great, and the setbacks in sentiment along the way should continue to fail to hit the low readings technicians came to expect at the bear market lows of the past twenty years.

The bottom line is that the professionals, despite claims to the contrary, are really not roaringly bullish on stocks. Many of the advisors rated "bullish" are so rated only because they still have stocks on their recommended list, while the accompanying rhetoric over the past six months has usually read something like, "but we're very cautious...take profits quickly...looking for a major top...it's late in the cycle..." etc. Even small town local banks and brokerage houses are putting out bearish reports, and these are businesses that make their best money in bull markets! True story: during a cross-town trip in New York City last month, the *taxi driver* was telling me how many puts he owned! (And that was en route to an interview with a bearish host.)

This is the stage of market development where people *should* be grasping for reasons to justify their bearish feelings. And feeling, or mood, is what this attitude really entails. As one market letter pointed out, the market is making new all-time highs, "but it doesn't *feel* strong." Two recent articles recognized this phenomenon: "Where Are All The Public Investors?" in the *Financial Weekly*, and the WSJ's "Stocks Are Up, Rates Are Down; So Why Aren't Investors Happy?" The simple answer is, because they only get "happy" at tops!

The hard numbers of the indicators show that members of the public are acting on their feelings and what they read and hear; they have sold short heavily and bought puts at an all-time record rate. When the public *buys* stocks late in a bull market, they often enjoy paper profits for awhile, but they are never allowed to keep them. Similarly, when the public *sells short* heavily, they may be profitable for a while, but they are inevitably forced to cover into a powerfully rising market.

History shows that the odd-lot [i.e., small] investor typically sells heavily not only at a major low, but also several months into a new bull market advance. He becomes convinced by the bear market that the trend is down, so feels that the big rally that is in reality the beginning of a sustained bull trend is merely a chance to unload in what is surely an ongoing bear market. The odd-lotter is currently bailing out of the stock market at more than a 3.5:1 sales-to-purchases ratio, the highest rate of selling to date in this decade! This is exactly how the odd-lotter should feel in the early months of a Primary third wave up. [Similarly,] margin accounts have been liquidating stock at a rate that exceeds all readings